

CAPITAL MARKETS

Rate-Hike Bets Resurface: CRE's Cost of Time Just Got More Expensive

A July hike would reset the refinancing clock for assets already priced for a cut.

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A source-grounded Light Tower Insight.

The bond market is pricing in a July rate hike. That is not a macro abstraction. It is a direct constraint on every commercial real estate owner with a 2026 or 2027 maturity who has been waiting for lower rates to refinance.

Bloomberg reports that traders have ramped up bets for a July increase ahead of US inflation data and an appearance by Fed Chair Kevin Warsh. The market is not forecasting a cut. It is preparing for the opposite.

For CRE capital markets, this changes the math on time. The central assumption embedded in many refinance plans over the past eighteen months was that rates would fall by mid-2026. That assumption is now under pressure. If the Fed hikes instead of holds, the cost of carry for floating-rate debt rises. The proceeds available in a fixed-rate refinancing shrink. And the gap between what a loan can support and what a lender will offer widens.

The mechanism is straightforward. A 25-basis-point hike on a \$50 million floating-rate loan adds roughly \$125,000 in annual interest expense. That is not a fatal number for a stabilized asset. But for a property already operating at a thin debt-service-coverage ratio, it can push the loan into a default zone where the lender has less incentive to extend.

The more consequential effect is on fixed-rate refinancing. Cap rates have not compressed. Treasury yields are the floor for mortgage rates. If the 10-year Treasury rises in anticipation of a hike, the all-in cost of a new fixed-rate loan moves higher. That reduces the loan amount an asset can support at a given debt yield. Owners who were hoping to refinance at 70 percent loan-to-cost may find themselves at 60 percent. The equity gap widens.

This is not a repeat of 2022, when the shock of rapid hikes froze transaction volume and forced a valuation reset. The market has already repriced. The question now is whether the repricing was deep enough to absorb another leg up in rates. My read is that it was not, at least not for the cohort of assets that were underwritten in 2020 and 2021 with aggressive

The cast of characters here matters. The Fed is responding to inflation data that has not cooperated with the narrative of a soft landing. Bond traders are adjusting their positions accordingly. CRE owners are the passive recipients of this decision, but their exposure is not uniform. Owners of multifamily assets financed through agency debt have some insulation: Fannie Mae and Freddie Mac loans are typically fixed-rate, long-duration, and non-recourse. The agency window does not close because the Fed hikes. But the spread over Treasuries can widen, and the underwriting standards can tighten.

Owners of office, retail, and older multifamily assets financed through bank balance sheets or the CMBS market are more exposed. Bank lenders are already reducing CRE exposure. A rate hike gives them another reason to be selective. CMBS conduit lenders will widen spreads, pushing the all-in cost above what many assets can support at current NOI.

The tension is between the market's desire for lower rates and the data that keeps pushing the Fed in the opposite direction. Every month of stubborn inflation compresses the timeline for owners who need to refinance before their loans mature. The clock is not running out uniformly, but it is running.

What should a market participant test next? For owners with maturities in the next twelve months, the prudent move is to lock financing now, before the hike materializes and before spreads widen further. Waiting for a cut that may not arrive is a bet on the Fed's willingness to tolerate inflation above target. That bet has not paid off so far.

For lenders, the signal is to underwrite with a higher rate floor. If the market is pricing in a hike, the base case for a five-year fixed-rate loan should assume a coupon at least 25 basis points above today's forward curve. For equity investors, the implication is that the denominator effect is not over. Higher rates mean lower values for leveraged assets, and the bid-ask spread that has kept transaction volume depressed may persist longer than expected.

The bond market is not predicting a crisis. It is predicting a higher cost of time. For CRE owners, time is the one input they cannot replace.